

23SMCV05356 23SMCV05356

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Case Number: 23SMCV05356 Hearing Date: August 20, 2026 Dept: P

Tentative

Ruling

Oakhurst

Income Fund II, LP v. Caverhill, Case No. 23SMCV05356

Hearing

date August 20, 2026

Plaintiff

Oakhurst Income Fund II, LP's Motion for Attorney Fees

Background

On November 14, 2023, Plaintiff Oakhurst Income Fund II, LP ("Oakhurst") sued Defendant Don Caverhill for breach of three continuing guaranty agreements dated August 26, 2022. (Complaint, ¶ BC-1.) Oakhurst alleged that Caverhill owed it \$1,087,459.48 under the guaranty agreements. (Id. at ¶ BC-4.)

On December 14, 2023, Oakhurst applied for a writ of attachment, right to attach order, and temporary protective order on Caverhill's real property located at 2500 Briarcrest Rd., Beverly Hills, CA 90210. On February 2, 2024, the Court granted Oakhurst's application.

On February 7, 2024, Oakhurst entered default against Caverhill.

On May 22, 2024, the Court granted Oakhurst default judgment against Caverhill, awarding Oakhurst \$639,035.74 in damages, \$11,266.60 in pre-judgment interest, \$9,180.40 in attorneys' fees, and \$2,523.50 in costs.

On May 22, 2024, the Court found that this case was not related to LASC Case No. 24SMCV01151, Oakhurst Income Fund II, LP v. 2500 Briarcliff Road, LLC ("Briarcliff Action").

Two hearings on applications for orders for appearance and examination took place between July 2024 and July 2026.

On July 6, 2026, the Court tentatively granted Oakhurst's motion for \$17,182.50 in post-judgment attorneys' fees and \$911.00 in post-judgment costs, but tentatively denied Oakhurst's motion in part because it claimed fees incurred in the Briarcliff Action, not this one.

Oakhurst requested a continuance to brief the propriety of the Briarcliff Action fees. The Court continued the hearing and granted leave for Oakhurst to file supplemental briefing.

Oakhurst filed its supplemental brief on August 6, 2026.

Analysis

Oakhurst cites Conservatorship of McQueen (2014) 59 Cal.4th 602 (McQueen) for the proposition that the Court may award fees incurred in a fraudulent transfer action as post-judgment fees in a prior case, where the fraudulent transfer action was litigated for purposes of recovering the underlying judgment.

According to Oakhurst, the Briarcliff Action is necessary to unwind Caverhill's transfers of property to avoid the judgment in this action; thus, fees incurred in the ongoing Briarcliff Action are recoverable here.

In McQueen, an estate conservator prevailed in an action for elder abuse perpetrated

against her conservatee. After the judgment in the elder abuse action (which permits recovery of statutory attorney fees), the defendant in the elder abuse action transferred real property to third persons to avoid the judgment. The conservator brought a separate action to prevent or reverse those transfers, and the parties settled the separate action. In the course of the ruling, the Supreme Court held that "Plaintiff's separate action to prevent transfer of assets was ... brought in aid of the judgment's enforcement". (McQueen, *supra*, at pp. 604-605.)

In those circumstances, McQueen plainly stated that fees in a fraudulent transfer action may be recovered as post-judgment enforcement fees associated with an underlying judgment in a separate action:

"Although incurred in a separate proceeding, the attorney fees plaintiff claims for prosecuting the fraudulent transfer action were expended in an effort to maintain assets in defendant's hands for potential satisfaction of the judgment in this case. They therefore came within the scope of what could be claimed, in this case, under section 685.040. 'Attorney fees incurred in one action may be considered necessary litigation costs in another.' [Citations.]"

(Conservatorship of McQueen (2014) 59 Cal.4th 602, 612-613, *italics in original*.)

There is, however, an important distinguishing factor for all of the cases cited by Oakhurst: in all three cases Oakhurst relies on, the underlying fraudulent transfer action was resolved before the plaintiff sought the fees it had incurred. In McQueen, the fraudulent transfer action was resolved by settlement. In *Globalist Internet Technologies, Inc. v. Reda* (2008) 167 Cal.App.4th 1267, the judgment creditor successfully defended itself against a judgment debtor's attempts to undermine the judgment debt. In *Jaffe v. Pacelli* (2008) 165 Cal.App.4th 927, the creditor had successfully obtained dismissal of a bankruptcy filing endeavoring to discharge the judgment debt.

Here, by contrast, the Briarcliff action is unresolved. There is no final adjudication whether the underlying transfer is, in fact, fraudulent, or whether it has anything to do with this judgment. And in support of Oakhurst's motion in this

action, Oakhurst's counsel only attested that "it has been necessary for Oakhurst to commence and prosecute a related fraudulent-transfer action" and "[t]he fraudulent-transfer action is prosecuted solely to enable Oakhurst to collect the unpaid Judgment entered in this action." (Landau Decl., ¶ 6.)

Because the Briarcliff action is not yet resolved, the Court finds that the request to award those fees in this action is premature.

Accordingly, the Court adopts its tentative ruling of July 6, 2026, and grants Oakhurst's motion for attorneys' fees in the amount of \$17,182.50, plus \$911 in costs. The remaining fees sought by Oakhurst are denied without prejudice and can be requested once the Briarcliff action has been resolved.